

JPM | China Tech & APAC Internet - ByteDance 1H26 earnings slip as AI spending ramps / Asia AI infra trade shall continue

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I'll be OOO today at China AI Application Forum today - please allow delays in reply.

ByteDance 1H26 revenue rose ~30% YoY to US\$120bn, but earnings slipped HSD% to US\$20bn as AI spend ramped ([The Information](#)) A larger-than-planned loan with 28 institutes reinforces that investment intensity is still rising ([Bloomberg](#)). For China internet, that's the core debate: can a sustainable ROIC justify the cost of capital through the cycle. Next catalyst is Alibaba's Apsara Cloud conference next week - another capex hike is the key risk. Will report back on the topic from China AI Application Forum today!

Asia AI infra trade isn't over yet: Gokul believes frontier models' current unit economics already justifies capex (reported 60–80% inference GPM; ~\$20–40bn revenue per GW vs ~\$10bn in 2025), regulation likely accelerates upgrade cycles, and hyperscalers have funding headroom (low leverage, re-accelerating cloud cash flow, potential equity). Net-net, hardware is pricing a downturn, but the catalysts skew to monetization upside. SPE, substrate, packaging, and optics preferred. Asia tech top picks: **TSMC, ASE, MediaTek, Wiwynn, Aspeed, ASMPT, Tokyo Electron, Advantest, SEC, Chroma, and Unimicron.**

Happening this week...

- (TODAY) Trip.com results
- (TODAY) China AI Application Forum
- (9/17) Alex Yao + Olivia Xu marketing please ask for availability

This Week's HKCN Tech & Internet Events and JPM NDRs

Date	Events	JPM NDR/Analyst Calls
9/16	Internet: Trip.com Group Ltd 2Q26 Results (9/15 post US mkt close EST)	China AI Applications Forum (Hong Kong, register)
9/17	-	Alex Yao + Olivia Xu: China Internet Marketing - pls ask
9/18	-	

Use the links below to jump straight to each section:

Detailed Highlights

Sector Key Newsflow

Full Research Link

Save the Dates: J.P. Morgan Technology Events

Catalyst Calendar (Full Version)

Detailed Highlights

ASIA AI INFRA TRADE: NEXT LEG AHEAD

The market is debating whether the AI infra trade is over, and Gokul's says no. The setup still works because the unit economics at the frontier layer are already strong enough to sustain capex, the regulatory drumbeat isn't slowing anyone down, and hyperscalers have multiple levers to fund incremental spend.

- **AI infra buyers, especially frontier model vendors are monetizing inference at very attractive levels.** Several reports pointing to 60-80% inference GPM; Open source models should pressure token pricing, but they will also expand the market and unlock more monetization paths rather than collapsing the profit pool.
- **AI safety and regulation are not slowing down model advancement.** If anything, Gokul expects regulation to catalyze faster upgrades not a pause. From a first-principles lens, models are evolving quickly and could accelerate further with approaching RSI (recursive self-improvement), reinforcing that scaling laws. That underpins confidence that GenAI can open new addressable markets over the next 1-2 years, similar to what we've seen with coding and agentic workflows over the last 18 months. Training cadence may face gating on rollout via tighter alignment constraints, but the underlying incentive to keep training and pushing the frontier remains intact.
- **Hyperscalers' capex still has room to grow over the next few years, and funding capacity doesn't look constrained.** Leverage is modest (around 13% net debt-to-equity for large hyperscalers), public cloud growth is re-accelerating on strong compute demand at higher price points (supporting operating cash flow), and there's a plausible additional funding layer via equity raises—both at the hyperscaler level and among downstream compute buyers.

Net-net, the market is starting to price an imminent capex downturn into tech hardware, but the more likely catalysts are on the other side: clearer monetization signals at the model and AI application layers. In positioning, they prefer servers **SPE** as capex accelerates, **substrates and packaging** as key bottlenecks with upside from CPUs and EMIB-T, and **optics** on a sustained upgrade cycle with NPO favored in the near-term. Gokul's top picks in Asia Tech are **TSMC, ASE, MediaTek, Wiwynn, Aspeed, ASMPT, Tokyo Electron, Advantest, SEC, Chroma, and Unimicron.**

Read Gokul and team's full report here - [Asia Tech Strategy: At a crossroads in the AI Infra trade](#)

Sector Key Newsflow

- **MediaTek** unveils first 2nm chip to run 30 billion AI models on phones arriving this quarter ([Digitimes](#))
- **Wiwynn** deepens US AI server footprint with US\$1.6 billion Texas manufacturing hub ([Digitimes](#))
- **Micron Taiwan** union presses profit-sharing demand, keeps strike preparations alive ([Reuters](#))
- **Samsung, SK Hynix** diverge on cell design for sub-10nm DRAM in 2028 ([Digitimes](#))
- **Meta** launches subscriptions with enhanced AI features ([Reuters](#))
- **OpenAI** reportedly acquires AI camera startup Glass Imaging for more than US\$300M ([Digitimes](#))
- **OpenAI** is working with Anthropic, Google on AI safety, Bloomberg News reports ([Reuters](#))

Full Research Link

Sector Note:

- **IT Services & Telecom Sector:** Feedback from investor visits in Asia- Matthew Henderson ([Link](#))
- **Internet Fall 2026 Sector Update - Slides & Sector FAQs:** Doug Anmuth ([Link](#))

Company Note:

- **Grab Holdings Limited (GRAB US):** Share repurchase is positive; execution post Atome acquisition will determine the ROI- Ranjan Sharma ([Link](#))
- **KDDI Corp (9433 JP):**IR Day takeaways: Telecom profit growth not reliant on price hikes; emphasizes growth strategies in business growth segment- Matthew Henderson ([Link](#))
- **Coforge (COFORGE IN):**Board changes don't reflect or change underlying business controls and performance- Ankur Rudra ([Link](#))

Save the Dates: J.P. Morgan Technology Events

Analyst Meetings & JPM Webinars

Title	Speaker / Sector Coverage	Format	Date/Time (HKT)	Registration
Stanley Yang	Korea TMT	Singapore	17-18 (Thu-Fri)	Please Ask
Alex Yao + Olivia Xu	China Internet	Hong Kong	Sep-17 (Thu)	Please Ask
Ankur Rudra + Bhavik Mehta	India TMT & Indian IT Services, EMS, Internet and Telecom	Singapore	Sep-28-30 (Mon-Wed)	Please Ask
Deep Dive on Q3 Bandai Namco & Recruit	Junko Yamamura (Games / Internet / Services)	Virtual	Sep-29 (Tue) 06:00 HKT	Register Here
Jay Kwon	Korea Tech	Singapore; KL; Hong Kong	Sep-29-Oct-1 (Tue-Thu); 2 (Fri); 5-9 (Mon-Thu)	Please Ask
CORE STOCK CALL 10/5 Japanese - Japanese	09:20 ~ 09:40 Junya Ayada (Consumer/ Industrial Electronics), 09:40 ~ 10:00 Akinori Kanemoto (Electronic Components), 10:00 ~ 10:20 Mio Shikanai (Technical Materials/ Semiconductor)	Virtual	Oct-05 (Mon) 08:00 HKT	Register Here
CORE STOCK CALL 10/5 English	10:20 ~ 10:40 Junya Ayada (Consumer/ Industrial Electronics), 10:40 ~ 11:00 Akinori Kanemoto (Electronic Components), 11:00 ~ 11:20 Mio Shikanai (Technical Materials/ Semiconductor)	Virtual	Oct-05 (Mon) 09:00 HKT	Register Here
CORE STOCK CALL 10/6 Japanese - Japanese	10:20 ~ 10:40 Matthew Henderson (IT Services & Telecoms)	Virtual	Oct-06 (Tue) 08:00 HKT	Register Here
CORE STOCK CALL 10/6 English	11:00 ~ 11:20 Matthew Henderson (IT Services & Telecoms)	Virtual	Oct-06 (Tue) 09:00 HKT	Register Here

Analyst Meetings & JPM Webinars

Title	Speaker / Sector Coverage	Format	Date/Time (HKT)	Registration
China Memory Industry Update: A Closer Lens at the NAND Market	Mr. Tian, China Memory Expert	Virtual	Sep-22 (Tue) 16:00 HKT	Register Here

Corporate Access

Title	Speaker	Format	Date/Time (HKT)	Registration
Shandong Sinocera (300285 CH)	Secretary of Board, Securities affairs rep	Hong Kong	Sep-22 (Tue) 12:30 HKT	Register Here
Micron Technology (MU US)	TBC	Virtual	Oct-6 (Tue) 8:00 HKT	Register Here
Salesforce Inc (CRM US)	IR	Virtual	Oct-13 (Tue) 8:00 HKT	Register Here

Conferences & Tours

Title	Format	Date/Time (HKT)
China AI Applications Forum	Hong Kong	Sep-16 (Wed)
India Conference	Mumbai	Sep-21-22 (Mon-Tue)
India TMT Tour	Mumbai, Bangalore	Sep 23-25 (Wed- Fri)
Taiwan PCB Tech Tour	Taipei	Oct-21 (Wed)
APAC Technology, Innovation and Growth Conference (TIG)	Hong Kong	Nov-16-18 (Mon-Wed)
Japan Markets Forum (Save the date)	Four Seasons Hotel Tokyo Otemachi	Dec-01 (Tue)
Thailand Forum	Bangkok	Jan-21-22 (Thu-Fri)

Catalyst Calendar (All in HKT)

Date	APAC Internet	China Semi & Hardware	Others
9/14			
9/15	MiniMax Group Inc - H EGM (14:00)	Circuit Fabolo-A EGM (14:00)	
9/16	Trip.com Group Ltd 2Q26 (Bef-mkt)	Dawning Inform-A EGM (14:00) Luxshare Preci-A EGM (15:00)	
9/17			
9/18		Victory Giant -A EGM (14:30)	

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